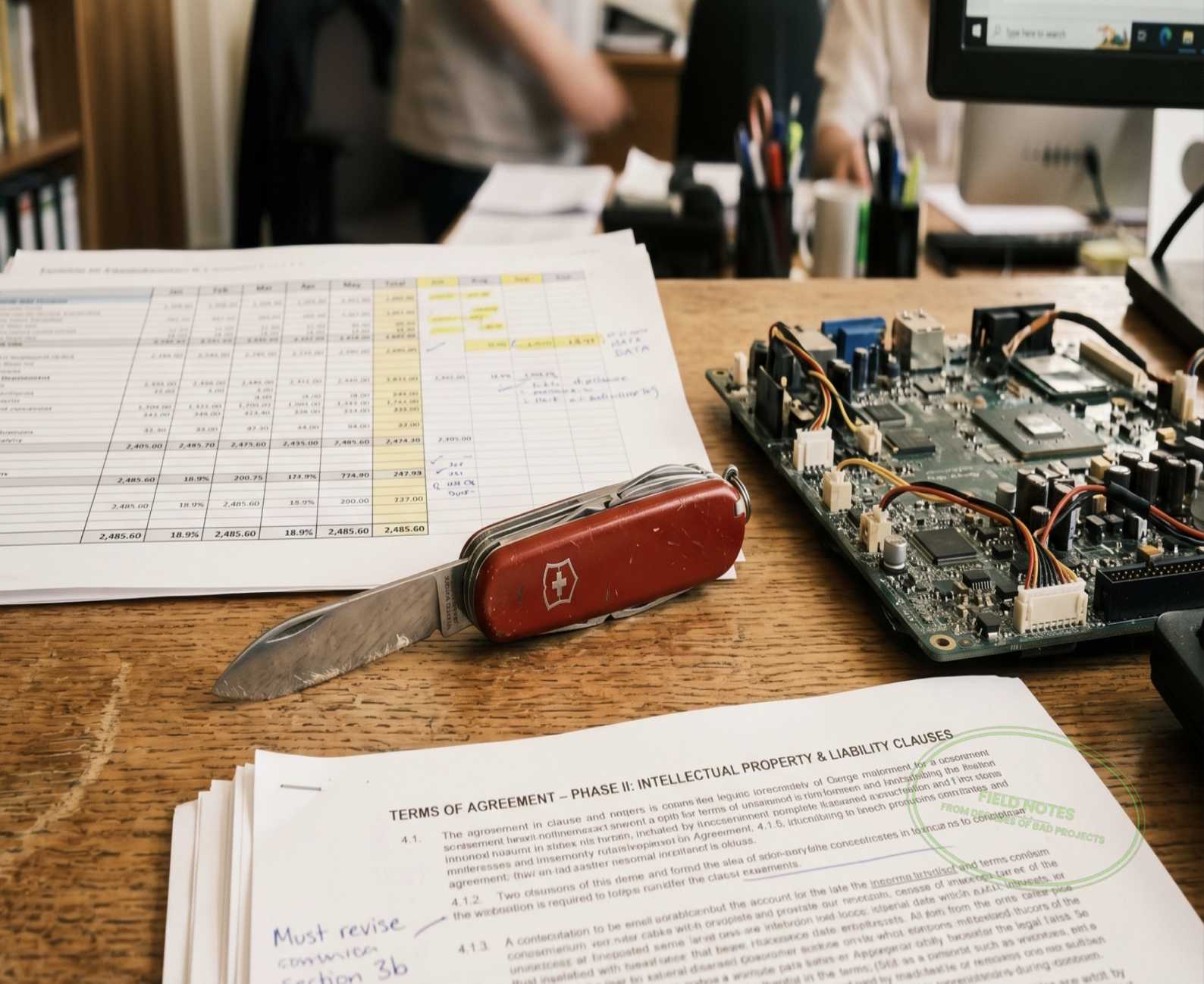




InvestPuppy
investpuppy.com

UNVARNISHED

A hammer is a tool, not a methodology

Serious when it matters.

About InvestPuppy

InvestPuppy builds Vektor, a systematic portfolio management platform for wealth management professionals.

What this series is

Every experienced practitioner thinks it. Almost nobody publishes it: *there has to be a better way.*

We thought it long enough that we went and built one.

Before that, we spent decades in the rooms.

The same project was failing for the third time. The project plan had been signed off before anyone had understood the first requirement.

The relationship was too warm for anyone to say so.

It isn't incompetence.

It's the incentive structure doing its job perfectly.

Nobody planned it this way. Nobody needed to.

We got frustrated enough to write it down. Then frustrated enough to build something. These papers are the writing-it-down part.

The something we built is a separate conversation.

A tool is something you pick up, use for the task it is suited for, and put down. A methodology is something that requires certification, governance, a steering committee, a maturity model, and a two-day offsite. The gap between these two things is not semantic. It is the gap between something that serves the work and something that the work is made to serve. Most of the methodologies in current circulation were tools before they were elevated. The elevation was not accidental.

The tool became a methodology when there was money in the methodology.

1. How Tools Get Elevated

The elevation of a tool to a philosophy follows a consistent pattern. The tool is genuinely useful — it solves a real problem in a specific context. Early adopters use it well, for that problem, in that context. Results are good. Case studies are written.

Then something shifts. The tool acquires a name. The name acquires a capital letter. Consultants begin building practices around

it. Certification programmes are created. Organisations begin asking not ‘does this tool fit our problem?’ but ‘are we doing this correctly?’ The question of fit is replaced by the question of compliance.

At this point, the tool is no longer a tool. It has become a methodology. And the incentive structure that elevated it ensures it will remain one — because the people who benefit from the methodology are not the people who need to solve the problem. They are the people who are paid to administer it.

There are two distinct failure modes worth separating. The first is the tool applied in the wrong context — a genuinely useful tool deployed against a problem it was not designed for. The second is the tool elevated to replace judgment — where the question of whether to use the tool at all has stopped being asked. Both appear below. They require different remedies.

2. Six Tools That Became Methodologies

The sequence below is roughly chronological — ordered from the tools whose methodology phase is most clearly behind them to the tool currently at its peak. The example that is clearly over is the proof of what happens when the dust settles. The example that is current is the one that needs to be assessed now, while it is still possible to make the distinction.

Agile.

Agile began as a set of principles for software development teams working on problems too complex to specify in advance. It worked, in that context. It then became a universal project philosophy. Organisations began applying Agile to regulatory compliance programmes, infrastructure rollouts, and financial software implementations where the work was not complex in the Agile sense

— it was simply uncertain. The ceremonies remained. The retrospectives, the standups, the sprints, the velocity charts. The process managed the work instead of serving it. This is the wrong-context failure mode.

Design thinking.

A creative problem-framing tool applied to regulatory compliance challenges. Financial services firms sitting through design thinking workshops on problems that had nothing to do with user experience and everything to do with process discipline. The tool is real and valuable in its context. Applied outside it, it consumes time and produces empathy maps for problems that needed process maps. Wrong context.

Blockchain.

Between 2017 and 2020, a significant portion of financial services strategy documents contained the word ‘blockchain’. Most no longer do. The distributed trust mechanism was proposed for systems that already had trust mechanisms that worked. The use cases remain valid. The methodology phase has, mercifully, passed. This is what the dust settling looks like.

Data-driven decision making.

The corrective was necessary. Gut instinct was overrated; data was underused. The correction was right. Then the correction became the religion. Organisations that could not approve a budget without a dashboard. Metric gaming. The confusion of correlation with insight. This is the elevation-replaces-judgment failure mode: the tool stopped being a corrective and became the decision-making process itself.

JIRA and tooling as methodology.

The project management tool becomes the project management methodology. The tool determines the work structure, the priority-setting process, the progress reporting cadence. The tail wags the dog. This is perhaps the most widely experienced example in this series’ audience: the

operations director who has attended fourteen Jira refinement ceremonies for a project that needed three conversations and a spreadsheet. Immediately recognisable. Ongoing.

AI and machine learning.

The term 'AI-powered' has become a marketing claim so widely applied that it has ceased to carry information. This is the characteristic end-state of a tool elevated to a philosophy: it is everywhere, it means everything, and therefore it means nothing. The tool is genuinely transformationally powerful for the tasks it is designed for. The elevation is happening now. The dust has not settled. Which means the choice of how to use it — as a tool with a defined scope, or as a methodology with a governance committee — is still available.

3. On AI Specifically

It is worth being direct about AI, because the current moment makes indirectness dishonest.

AI is a powerful tool. The capabilities are real: pattern recognition at scale, anomaly detection, systematic optimisation across large parameter spaces. For these tasks — tasks where the problem is defined, the data is available, and the output can be evaluated objectively — AI performs at a level that human analysts cannot match consistently over volume and time. This should not be hedged. The tool is real.

It is also the wrong tool — not merely imperfect, but genuinely unsuited — for tasks that require contextual judgment, accountability, relationship management, and regulatory interpretation. These are not tasks that decompose into pattern-recognition problems without losing the thing that makes them hard. The context is not incidental. It is the problem.

When we built our own portfolio management platform, we made these decisions explicitly before writing a line of code. Systematic methods — signal selection, portfolio optimisation, lot sizing — are pattern-recognition and calculation problems. They do not tire, do not carry last week's client conversation into this week's analysis, and produce a complete audit trail. We used them. Client judgment, mandate interpretation, relationship management, and the recognition that something has changed that the data hasn't yet captured — these are not pattern-recognition problems. We did not use systematic methods there. The platform works because the boundary was drawn first.

The AI implementations that fail share one characteristic: the boundary was not drawn. The tool was deployed because it was available, and because deploying it looked like innovation. The question of whether it was the right tool for this specific task was not asked, or was asked and answered by the people selling the tool.

4. Using Tools as Tools

A tool used correctly has a defined scope: the tasks it performs, and the tasks it does not. This is not a limitation. It is the condition of the tool's usefulness. A Swiss Army knife asked to repair a circuit board is not a bad Swiss Army knife. It is the wrong tool for that task.

The question for any tool is not 'is this capable?' but 'is this suited?' Capability is necessary but not sufficient. A capable tool applied to the wrong problem produces the wrong result efficiently, at scale, and with the confidence of a methodology behind it.

Three questions before deploying any tool as a methodology:

One. For what specific tasks is this tool the best available option? Name them precisely.

Two. For what tasks is this tool being proposed that it was not designed for?

Three. Who benefits from the deployment of this tool as a methodology — and is their benefit aligned with the quality of the outcome? This is the question that explains most of the elevation events described above. It is also the question that is almost never asked in the room where the deployment decision is made.

*If you'd like to read how we applied this in practice:
contact@investpuppy.com · Vektor Research Series
— 'AI as Instrument: Machine Learning in Systematic
Portfolio Management' (IP-WP-AIML-260501-1.0) —
investpuppy.com*

Pick it up. Use it for what it does.

Put it down.